



2026:AHC:33179-DB

HIGH COURT OF JUDICATURE AT ALLAHABAD

WRIT - C No. - 20210 of 2012

M/S Kamakhya Steels Pvt. Ltd.

.....Petitioner(s)

Versus

State of U.P. and Others

.....Respondent(s)

Counsel for Petitioner(s)	: B.C. Rai, Dinesh Rai, Stuti Rai
Counsel for Respondent(s)	: Pranjal Mehrotra, C.S.C., N.Misra, Pankaj Kumar Shukla

Court No. - 1

HON'BLE AJIT KUMAR, J.

HON'BLE SWARUPAMA CHATURVEDI, J.

1. Heard Sri Bidhan Chandra Rai, learned Senior Advocate assisted by Sri Dinesh Rai, learned counsel appearing for the petitioner, Sri Ram Chandra, learned Advocate holding brief of Sri Pranjal Mehrotra, learned counsel appearing for respondent concerned and learned Standing Counsel appearing for State respondent.

2. Petitioner before this Court, who is electricity consumer of respondents corporation having industrial connection, is aggrieved by the order passed by the appellate authority dated 09.04.2012 under Section 127 of the Electricity Act, 2003 and has thus questioned the same.

3. Sri Bidhan Chandra Rai, learned Senior Advocate appearing for the petitioner while assailing the order of final assessment passed under the U.P. Electricity Supply Code, 2005, and the order passed by the appellate authority has raised two fold arguments which are as follows:-

(i) The authority after having a surprise checking of the electricity meter of the petitioner since failed to find out any tempering with the main meter except the loose seal of the godrej lock put on the outer box of the meter, manifestly erring in arriving at a conclusion that there was an unauthorized use of the electricity by the petitioner calling for an action under the U.P. Electricity Act, 2003 read with relevant provisions of the Electricity Supply Code, 2005 for the purpose of penal charges on the basis of provisional and final assessment.

(ii) Respondents have not accorded due consideration to the points raised before the assessing authority and further the appellate authority fell in serious error of law in failing to consider the ground raised in the appeal.

4. Both the impugned orders of final assessment and the appellate authority are, therefore, are to be rendered unsustainable and deserve to be quashed.

5. From the perusal of pleadings, it clearly transpires that there was no dispute between the parties that the petitioner had a valid meter for industrial connection of electricity and that on 22.06.2007 a surprise check took place in which the outer box of the electricity meter of the petitioner was found to be with broken seal. It is also not disputed that in the conclusion drawn by the inspecting team, it was not a case of theft of electricity as no direct theft of electricity had been detected in metering system of M/s Kamakhya Steels Pvt. Ltd. and the assessment was made considering it to be a case of possibility of theft.

6. It is submitted on behalf of the petitioner that with the installation of meter, the same was sealed again by removing the old seal in presence of the petitioner and under the signature of the petitioner, a seal certificate was issued. A surprise check of the meter took place on 22.06.2007 in the current transformer and potential transformer (CT and PT). They were found to be physically 'OK' with no abnormality and only MRI cord with which the meter reading instrument is attached for the purpose of meter reading was found to be defective. The report vide its clause 8 reported the meter cubicle and double pole meter were found to be as per norms and only CT/PT chamber was found to be not properly sealed. On the basis of this inspection, a checking report was submitted on 26.06.2007, in which it is submitted on behalf of the petitioner, when it has come that MRI and reading was carried out on 21.06.2007 and there was no report of any abnormality, how could there be any electricity dues liable for alleged possibility of theft prior to that date.

7. Sri Rai has further taken the Court to the godrej lock that was put on the meter room, found to be not properly sealed and after removing the M-Seal, it was preserved in a box. It is also submitted that after analyzing the entire meter, the authority has presented in the checking report that a clear case of theft was ruled out and hence according to Sri Rai, on a mere apprehension

of possibility of theft, no conclusion can be drawn that the theft was committed. Sri Rai led an argument that theft is a question of fact and unless and until, it is proved beyond doubt, a mere doubt or apprehension cannot form a proved/stablished case of theft to lead the authority competent in the matter to hold that the petitioner was liable to pay charges for unauthorized use of electricity.

8. Sri Rai has further argued that the notice dated 18.07.2007 mentioned electricity loss of 9.17% to 19.75% for unauthorized use by the petitioner, is also not believable for the reason that the petitioner was not the only consumer but there were two others namely, M/s Jain Steel and 33/11 KV S/S Avas Vikas Feeder having electricity supply from 132 KV feeder at Bijnor and Avas Vikas at 33/11 KV feeder to have a sub-station line, therefore, consumption or loss of line was not mainly attributable to the petitioner. Sri Rai submits that he had raised all these points in his objection filed on 30.07.2007 but they all went unnoticed by the Executive Engineer who passed the order of final assessment. Sri Rai also submits that the order of final assessment is absolutely *sans* consideration of the objections raised by the petitioner and hence it is liable to be rendered as unsustainable.

9. Sri Rai further submits that since the point raised were not accorded due consideration by the final assessing authority, the petitioner preferred the appeal raising all those points as facts pleaded in the appeal and also the grounds raised but none of the grounds have been considered and the appeal has also been dismissed in a summary manner. It is argued lastly by learned Senior Advocate that the petitioner has already made a deposit which is an extra deposit being in excess to what the petitioner was liable to pay and hence petitioner is entitled to refund.

10. Sri Ram Chandra, learned Advocate holding brief of Sri Pranjal Mehrotra, learned counsel appearing for respondent concerned has justified the orders, both final assessment as well as the order of the appellate authority for the reasons assigned therein and has placed paragraph nos. 6, 10 and 17 thereof. According to him, writ petition is devoid of merit and deserves to be dismissed.

11. Having heard the learned counsel for respective parties and having perused the record, we find it to be an admitted fact of position between the

parties that MRI of the meter in question was conducted on 21.06.2021 but no such report was submitted about any error indicating by-pass of the meter cable for the consumption of electricity or breaking of its seal. However, petitioner was not supplied with the MRI report to contest the same if anything adverse was therein. This plea has been taken in para no. 9 of the writ petition. In reply thereof, only this much has been stated that the officers of the electricity department had raided the premises on 22.06.2007 and found unauthorized use of electricity and then they prepared the checking report with certain details like holo seals on meter box, CT chamber, TP and double box bore no signature of any officer/official, CT/PT seal of the meter chamber was found to be tempered and m-seal was used for joining the bottom and top part of the seal, wax layer was found pasted on the seal above the painted metal surface to facilitate easy removal of M-Seal without damaging it for opening the door lock of CT/PT chamber, MRI cord was found defective, SE(D) Bijnor and E.E. ETD Bijnor were requested to seal the meter cubicle and double pole meter as per norms and consumer refused to sign the inspection memo.

12. If the above averments are taken to be answer to paragraph no. 9, then in our considered view, it is highly misplaced an answer. Neither in the writ petition, nor in the objection filed by the petitioner, petitioner has doubted the recitals contained in in the report, instead what the petitioner submitted that if the MRI reading was conducted on 21.06.2007, a day before surprise checking was done, the said report ought to have been also supplied to the petitioner. Further what the petitioner contended throughout in objection and in appeal and even before this Court that while outer box of the meter was found to be with tempered seal or that godrej lock of the meter room was also not found properly sealed. There was no report that the original meter seal was broken or any tempering was done that the meter so as to draw a conclusion that some by-pass was created to consume the electricity reading to avoid meter reading, which would have amounted to theft. The Court cannot ignore conclusion part of the summary report of the checking which clearly states that *"Although no direct theft of electricity has been detected in metering system of M/s Kamakhya Steel Pvt. Ltd. But following facts lead to conclude the possibility of theft."*

13. Now what fact led the authority to conclude possibility of theft was as

follows:-

(i) Tempered seals of CT/PT chamber of main meter.

(ii) Considerable difference (varying from 9.17% to 19.75%) in energy sent from 132KV sub-station Bijnor and the total sum of receipt of energies of all the three consumers connected on the 33KV feeder namely, M/s Kamakhya Steels Pvt. Ltd., M/s Jain Steel and 33/11 KV S/S Avas Vikas Feeder.

14. A clear cut objection was raised that the meter seal having not been found broken and no discrepancies whatsoever having been detected in the meter, firstly, it could not be said that there was a theft, and secondly, the cause of assumed line loss on the feeder supplying the electricity to the industrial consumer from 33KV feeder was not solely attributable to the petitioner in the face of the fact that three consumers were there and nothing was reported that any surprise inspection was conducted upon other two consumers and nothing adverse was reported. In paragraph nos. 15 and 16, this plea has been taken but in reply thereof, only this much has been stated that it need no comments and that provisional assessment order has been passed by the competent authority inviting objection and since objection was filed to that extent only admission was made by petitioner.

15. In our considered view, this is a very sketchy pleading raised in reply to specific pleadings made in the writ petition. Still further, we have carefully gone through the objection filed by the petitioner and found that vide paragraph nos. 12, 14, 18 sufficient objection was raised which are reproduced hereunder:-

"12. In the meantime on 21.06.2007 the Officers of the PVVNL, namely (i) the Executive Engineer, Electricity Test Division, Bijnor, (ii) the Executive Engineer, Electricity Distribution Division, Bijnor, (iii) the Sub Divisional Officer, and (iv) the Assistant Engineer (Meters) down loaded the MRI from the main meter but they did not find anything incriminating either with the meter or with metering instrument. Those Officers properly sealed the main meter and meter cubical vide certificate dated 21.06.2006. Thus it is clear that up to 21.06.2007, the meter and CT/PT of Main Meter were found OK.

14. That thereafter in the noon of 22.06.2007 the Sub-Divisional Magistrate (Chandpur) Bijnor and various other Officials of the PVVNL, namely (i) Shri S.N. Yadav Superintending Engineer, Electricity Urban Distribution Circle, Ghaziabad; (ii) Shri P.S. Gupta, Executive Engineer, Electricity Urban Test Division-I, Ghaziabad; (iii) Shri D.C. Chaudhary, Executive Engineer, Electricity Test Division, Bijnor; (iv) Shri R.K. Sinha, Assistant Engineer, Electricity Urban Test Division-I, Ghaziabad; and (v) Shri C.M. Singhal, Junior Engineer (Meter), Electricity Urban Test Division-1, Ghaziabad carried out detail checking but they did not find anything incriminating either with the main meter or with the metering system. When they did not find anything incriminating at all, they prepared sealing certificate (Checking /Raid) dated 22.06.2007 and mentioned that as per instruction of SE, EUDC, GZB CT/PT chamber of main meter was opened and CT/PT ratio was found in order. However, after completion of checking, the EE, ETD, Bijnor was requested to affix seals on the meter.

18. A cursory glance on check report/ sealing certificate 22.06.2007 would bear out that neither anything incriminating was found at the Objectionist premises nor meter was found tampered. So much so the power supply is fed from the said meter electricity charges is being raised from the consumption shown in the said meter and, therefore, the allegation of unauthorized use of electricity is wholly fallacious and misconceived. Had there been any unauthorized use of electricity through main meter, the department ought to have replaced the said meter by installing new meter. Since the main meter is functioning properly the presumption regarding correctness of the meter goes in favour of the Objectionist."

16. Further legal plea has been taken to define theft of electricity relying upon certain authorities and serious doubts have been raised regarding assessment of the inspection report to draw a conclusion of theft from conclusion of possibility of theft by the assessing authority. These pleading have been raised in paragraph nos. 24, 25, 27, 28, 30, 31, 34 and 35 of the objections that are reproduced hereunder:-

"24. That the checking team no where alleged that meter was tempered by

the Objectionist. The check report says that the polycarbonate seals of CT & PT chamber found tampered. However, as per the said provision neither the CT/PT chamber nor the seals of CT/PT chamber is a part and parcel of the meter and, therefore, the Objectionist can not be panelized for an assessment of electricity charges for alleged tampering of seals of CT chamber.

25. That the check report nowhere shows or alleges that the Objectionist was drawing electricity illegally or by passing the meter. On the other hand it clearly shows that the entire load was connected through meter. There is also not even a whisper in the check report that the meter was tampered and thus was not in a position to record correct reading. Ex-facie entire proceeding culminating into provisional assessment notice dated 18.07.2007 is patently illegal contrary to law and is in teeth of the aforesaid provisions.

27. That in any view of the matter, the provisional assessment notice could have been issued, in case, the meter found tampered or electricity is being drawing through artificial means. However, in the present case, neither the meter has been tampered nor the Checking Team had found artificial means in the meter and thus no provisional assessment notice could have been issued on the basis of check report dated 22.06.2007.

28. That in the matter of Model Terry Towens Limited Versus Gujrat Electricity Board, reported in AIR 2003 (Gujrat) 63, the Gujrat High Court was pleased to opine that the broken seal does not establish theft of electricity. Similar view has been provided in Chamber VIII of Supply Code, 2005. Thus provisional notice is wholly illegal and arbitrary.

31. That apart from the above submissions the provisional assessment notice is barred by time inasmuch as clause 6.8 (vi) of Supply Code, 2005 provides that within three working days of date of inspection, the Assessing Officer shall analyze the case after carefully considering all the evidence and if the Assessing Officer suspect that unauthorized use of electricity has taken place he will serve provisions assessment bill giving 15 working days of submission of reply. However, in the present case checking was made on 22.06.2007 and the provisional assessment notice dated 18.07.2007 has been served to the Objectionist after a lapse of

almost 26 days and, therefore, the provisional notice is barred by time.

34. That in the provisional assessment notice one of the reason for making provisional assessment shown as less consumption of electrical energy qua power consumption of the previous year. The Objector submits that the explanation of Section 126 of the Electricity Act, 2003 spell out certain conditions for assessment of electricity charges in respect to unauthorized use of electricity charges. The said electricity thing is nowhere attracted in present case. It is further stated that making of an assessment on the basis of the consumption pattern is absolutely foreign to the Section 126 of the Electricity Act, 2003.

35. Similarly, it is alleged that as per the MRI report of 132 KV Sub-Station and 33 KV Sub-Station the checking team noted that there is line losses ranging between 9.17 to 19.75%. The Objector submits that the Objector was/is drawing power supply through mixed feeder. From the said feeder M/s Jain Steel & 33/11 KV Sub-Station supplying electricity to the Bijnor City are also connected and, therefore, the allegation of unauthorized use of electricity on the basis of line losses is not permissible under the law. Since the Objector is not drawing power through an independent feeder, the formula adopted by the department for making of an assessment for electricity charges on the ground of line losses is wholly misconceived and illegal."

17. Upon perusal of the final order of assessment that has been passed on 23.10.2007, we find that all points and objection have just been referred as not acceptable and reliance has been placed upon the report. We further notice to our utter surprise that after referring paragraphs of objection to reject only, neither the authority applied its mind to the points raised, nor the authority bothered even at least to reproduce them so that it could be inferred that the some consideration was accorded. We find that the authority has concluded that there was an unauthorized use of electricity by way of theft but we do not find there to be any discussion as to how the report of possibility of theft has been converted into a clear case of theft so as to hold the petitioner liable for the payment of assessment amount of Rs. 29,52,212/- . The authority though records that this finding has been reached on the basis of analysis but we find that till paragraph no. 33, the authority has referred to

paragraph of the objection of the petitioner to reject the same and in later two paragraphs i.e. 34 and 35 only it arrived at a conclusion that since the seals of the meter system were tempered and loss was reported and therefore, it was a case of theft. Paragraph nos. 34, 35 and 36 and the final concluding part of the final assessment order dated 23.08.2007 is reproduced hereunder:-

"37. Not accepted as it is clearly mentioned in the checking report that seal were found tempered and hence action as per rules was to be taken.

Further more analysis of energy flow was carried out which reveals that there was considerable line losses on this feeder substantiating the fact that unauthorized used of electricity has taken place. Also consumption was less despite the fact that electricity was supplied for more time then before. On the basis above mentioned analysis/facts your objection are not acceptable. Hence your representation is finalized as follows:-

Your representation is rejected.

You are kindly requested to deposit the assessment amount Rs.29,52,212.00 within 30 days time."

18. From perusal of the above, therefore, we conclude that there was no analysis at all by the final assessing authority to convert the possibility of theft into a case of clear theft. We further notice that in appeal several grounds were raised questioning the finding so arrived but the appellate authority brushed aside those grounds raised by the petitioner and only referred to the checking report and the summary report to arrive at a conclusion that the appeal was devoid of merits and, therefore, deserved dismissal and dismissed it. We find that the order dated 08.04.2010 of the appellate authority is also an order *sans* reasons and, therefore, is held unsustainable. Still further, since we have already held the final assessment order to be bad, the appellate authority affirming the same without discussing the grounds and pleadings raised in the appeal also has rendered irrelevant.

19. In view of the above, the writ petition succeeds and is **allowed**. The order passed by the final assessing authority namely, Executive Engineer

dated 23.10.2007 and that of the appellate authority dated 11.10.2007 passed in statutory Appeal No. 17 of 2007-08 and a consequential order for recovery dated 09.04.2012 are all hereby quashed. The matter is remitted to the final assessing authority to reconsider the objection filed by the petitioner and pass order a fresh recording specific findings to the effect as to how and on what basis a case of possibility of theft can be taken as a case of actual theft within the meaning of Section 135 of the Electricity Act and further leading to a case of provisional and final assessment under the U.P. Electricity Supply Code, 2005 holding the petitioner liable for payment of electricity charges and penalty. An appropriate order shall be passed by the assessing authority under the U.P. Electricity Supply Code, 2005 within a period of two months from the date of production of certified copy of this order.

20. It is made clear that whatever amount has already been deposited shall remain deposited with the respondents to be abide by the final order to be passed by the assessing authority.

(Swarupama Chaturvedi,J.) (Ajit Kumar,J.)

February 13, 2026

#Vikram/-